

Network Revenue Analysis

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Philosophy

Understanding what needs to be done is 50% of solution.

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Challenge?

Is there baseline method to answer those questions?

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Answer to those is LP.

Two views: operational and strategic.

Operational = what to do

Strategic = what to do differently

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Network LP

$$\text{Revenue} = p^T x \rightarrow \max,$$

$$Ax \leq c,$$

$$0 \leq x \leq \mu.$$

Sensitivity:

$$\Delta \text{Revenue} = \lambda_1 \Delta c + \lambda_2 \Delta \mu.$$